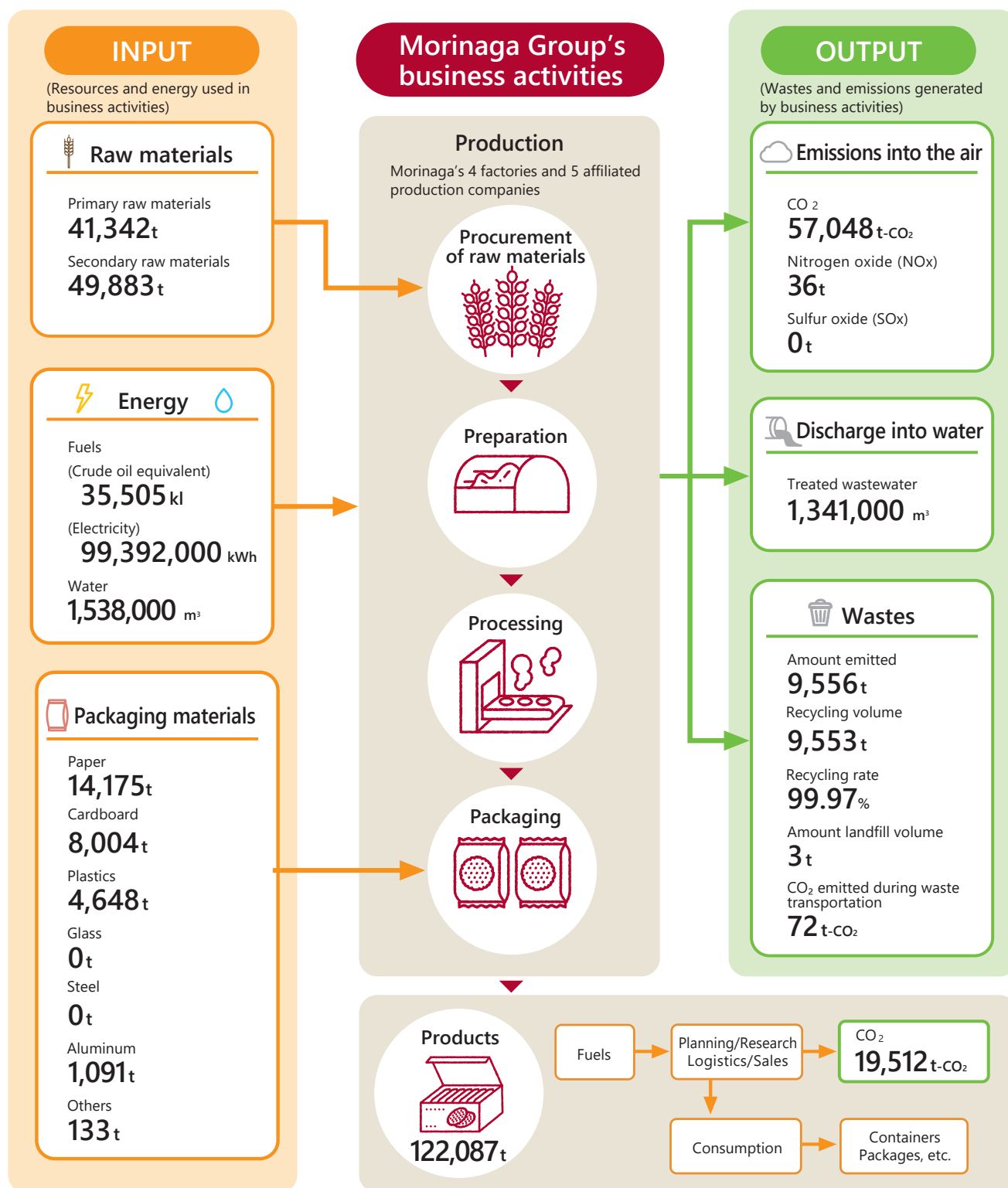


Environmental Load Generated by Business Activities

Basic Concept

In the course of business activities, a wide range of environmental loads are caused mainly in the product manufacturing process, including such occasions as consuming energy, raw materials and emitting wastes.

We will continue to carry out environmentally-friendly manufacturing, taking each and every environmental load into consideration.



► Environmental accounting is disclosed on the corporate website of Morinaga & Co., Ltd.

Realization of a Low-carbon Society

Basic Concept

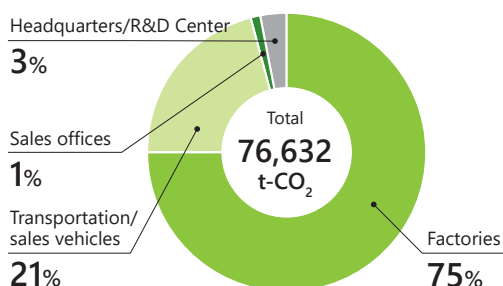
By implementing carbon management measures such as promoting energy-saving and visualizing energy use, as well as reducing emissions of CO₂, the main greenhouse gas, Morinaga aims to realize a low-carbon society and is making efforts towards preventing global warming.

Goal Reduce CO₂ emissions from our factories by **15%** compared to the FY2006/3 level by the end of FY2021/3.

Initiatives to Reduce CO₂ Emissions

We are working on the reduction of CO₂ emissions by measuring overall amount of emissions and promoting the visualization thereof. We set environmental goals and promote initiatives focusing on activities at factories, as CO₂ emissions are largely (75% of overall CO₂ emissions) generated by Morinaga's four factories and five affiliated production companies.

Ratio of CO₂ Emissions



Results in FY2020/3 (Domestic production facilities)

In FY2020/3, the amount of CO₂ emitted from Morinaga's four factories and five affiliated production companies was 57,048 t-CO₂, and the energy consumption rate per production unit was 0.467 t-CO₂. This shows that we reduced our CO₂ emissions by 19.5% compared to the FY2006/3 level. Compared to the FY2019/3 level, the emission amount was cut by 1.9%, and the energy consumption rate per production unit was reduced by 1.7%. Our CO₂ reduction efforts focus on the promotion of energy saving through the installation of energy saving-type equipment, etc. The amount of CO₂ emitted from over overseas production facilities in 2019 was 9,137 t-CO₂.

CO₂ Emissions (Total amount)

Goal	Results		
End of FY2021/3	FY2018/3	FY2019/3	FY2020/3
-15% (vs. FY2006/3)	-19.9% (vs. FY2006/3)	-17.9% (vs. FY2006/3)	-19.5% (vs. FY2006/3)

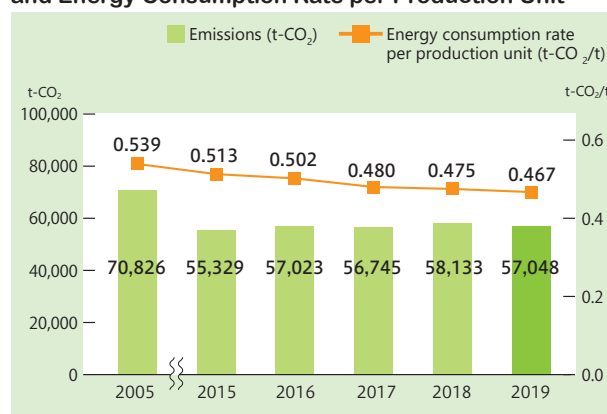
Energy consumption rate per production unit (FY2020/3)

-1.7% (year on year)

CO₂ emissions from overseas production bases (2019)

9,137t-CO₂

Changes in the Amount of CO₂ Emissions from Factories and Energy Consumption Rate per Production Unit



Initiatives on CFC-using facilities

We are currently examining the possibility of replacing CFC-using facilities with those using HCFCs and HFCs, with a low ozone depletion potential, or natural refrigerants. We intend to replace, in a planned manner, equipment and devices that use CFC R-22 with those using a low-global-warming-potential refrigerant. We have also implemented stricter measures to prevent leakage of CFC gas from existing facilities.

Morinaga Angel Dessert and Morinaga Dessert, whose product lines include frozen desserts, are proceeding with the replacement of refrigerant-equipments in their large-sized refrigerators with natural refrigerants that has zero ozone-depletion potential and low climate-change coefficient.

Reducing environmental load during storage and transportation

In an effort to load as many products as possible on a pallet, a platform used for product storage and transportation, we have adjusted dimensions of cardboard cases and apply our efficient stacking pattern for loading cases onto the pallets. Furthermore, we save the use of energy in the storage and transportation processes by designing our products to minimize the wasted space.

Realization of a Low-carbon Society

Initiatives for Energy Saving

Energy-saving initiatives through production system reorganization

With a view to increasing major brands' productivity and responding to the diversifying market needs, the Morinaga Group is working on the reorganization of production systems and achieving high efficiency thereof.

In FY2020/3, in order to improve productivity, we decided to merge Morinaga Snack Foods Co., Ltd. and Morinaga Kofu Foods Co., Ltd. We also closed two production bases, transferred part of their production lines to, and rebuilt the lines in, the Tsurumi Factory and the Oyama Factory. We also constructed a third factory in the premises of Takasaki Morinaga Co., Ltd., intending to launch by the end of FY2021/3.

In the new factory and relocated production lines, we made capital investments taking into consideration energy saving. For example, we installed highly efficient energy-saving equipment and adopted a building design that features ceilings set lower than those of former buildings for the reduction of air conditioning loads.



Takasaki Morinaga's Third Factory

Facilitating energy conservation promotion activities

The Morinaga Group has continuously been engaged in the activities to promote energy conservation. In order to make as much contributions as possible to the prevention of global warming, an international environmental issue, we are focusing on the facilitation of energy conservation promotion activities at our production sites, as most of our energy consumption is attributable to these facilities.

We have so far implemented such measures as: conducting energy-saving patrols to prevent overlooking of compressed-air or steam leakage from pipes and failures to switch off the lights; replacement of aged equipment with highly efficient one; switching to LED lighting; and ensuring the optimal electricity consumption by installing inverters on pumps and fans with a power of 7.5 kW or above to respond to changes in equipment loads.

In FY2020/3, we accelerated our efforts in factories to switch to LED lighting. This resulted in a significant increase in the ratio of LED lights.

We intend to facilitate our energy consumption promotion activities further, by seeking advice from energy conservation consultants, energy management companies, and equipment manufacturers, and planning and implementing energy conservation measures based on their advice.

Examples of Energy-saving Initiatives

Consolidation and rationalization of air compressors

At our Oyama Factory, a three-year equipment work is underway to consolidate and rationalize air compressors. As part of the work, the Factory visualized its use of compressed air, reviewed its operation control and supply routes, updated former air compressors to highly efficient ones, centralized the control of air compressors, and achieved an appropriate operation control thereof. As a result, the Factory's energy consumption rate has been improved significantly.



Oyama Factory: Consolidation and rationalization of air compressors

Thermal barrier coating on product warehouse roofs

Our Tsurumi Factory reduced its air conditioners' loads and energy consumption by applying thermal barrier coating to the roof of its product warehouses and thereby suppressing a rise in the temperature inside the warehouses caused by the direct sunlight.



Tsurumi Factory: Thermal barrier-coated product warehouse roof

Major Initiatives in Logistics Process

As a measure to ensure efficient distribution and environmental friendliness, Morinaga has created a joint distribution system in collaboration with the corporations in the same industry.

Increasing the loading rate through the joint distribution reduces the number of transportation and delivery vehicles, leading to a decrease in air pollutant emissions.

As a Specified Consignor * under the revised Act on the Rationalization etc. of Energy Use ("Energy Saving Act"), we calculate and identify the amount of CO₂ emitted during transportation, which was 15,809 t-CO₂ in FY2020/3.

*A Specified Consignor under the revised Energy Saving Act refers to a consignor whose annual volume of freight transportation orders reaches 30 million ton kilometers per year or above.

Respect for Human Rights

Human Rights Policy

The Morinaga Group considers that respect for human rights is an important corporate social responsibility. Based on the Morinaga Group Human Rights Policy, each and every employee shall respect human rights, proceed with the creation of a workplace free from discriminations and harassments, and take human rights into consideration on a supply chain-wide basis.

Morinaga Group Human Rights Policy

As a member of the international community, the Morinaga Group respects fundamental human rights, undertaking sincere business activities that do not tolerate human rights violations.

1. Respect for human rights and prohibition of discrimination

We respect fundamental human rights, and will not discriminate in any way based on a person's race, gender, nationality, religion, ideology, age, or physical characteristics, or for any other reason.

2. Prohibition of harassment

We will not participate in power harassment, sexual harassment, or any other behavior whatsoever that injures human dignity.

3. Consideration for safety/hygiene

We will give consideration to safety and hygiene in the workplace, endeavoring to ensure a comfortable work environment, and respect employees' fundamental human rights.

4. Building and maintenance of good labor-management relations

We will respect the right to freedom of association and collective bargaining and other fundamental rights, building and maintaining good labor-management relations.

5. Elimination of child labor/forced labor

In our various business activities, we will not accept child labor, forced labor, or any other unfair labor practices.

(Established in May 2018)

session videos that can be accessed online by every employee of the Company.

Identifying harassments through compliance survey

The Morinaga Group conducts a compliance survey in every December, targeting all employees working at domestic Group companies (the number of respondents to the survey conducted in December 2019: 3,733), with the view to determine the level of compliance in the Group on a regular basis. In the survey, we attach a special attention to harassing behaviors and include questions asking whether the respondent was directly harassed or saw or heard of a harassing behavior in the last 12 months and in any past year, respectively. Answers to these questions are tabulated separately so that we can have a detailed view of the Company's level of compliance.

We also ask questions about the corporate culture that respects for workplace compliance as well as the respondent's view on the Company's degree of engagement in the compliance management, in an effort to identify our employees' level of compliance awareness. The summary of the survey results is fed back to all the survey respondents to share the understanding about the extent of the Group's compliance.

Examples of questions in the compliance survey

- Have you ever been a victim of a power or sexual harassment?
- In the workplace, do you consult or confirm with your supervisor or colleague when you have any compliance or work-related questions? Alternatively, does your workplace have an atmosphere (environment) that allows such consultation or confirmation?

Furthermore, as part of our proactive activities for an improvement of corporate culture, these results are used as a basis for holding interviews and opinion exchange sessions with respective business offices and making proposals on possible measures to solve compliance issues.

Consideration for Employees' Human Rights

Anti-harassment training

According to our pro-human rights policy, we set the elimination of harassments as a goal of our compliance activities. In our compliance training sessions, we continuously provide educational programs designed to prevent and raise awareness about power, sexual, and other harassments.

Such programs ranges from two types of anti-harassment trainings for executives (one are trainings provided by external lawyers targeting all executives of Morinaga, the other are those for Morinaga's all General Managers leading a division or department, heads of business offices, and executives of Group companies) to training



Online anti-harassment training

ESG Data

Environment

• Policy

Environmental policy

"Morinaga Group Environmental Policy" <https://www.morinaga.co.jp/company/english/csr/environment/management.html>

Scope of ESG Data (Environment) Reporting

Morinaga & Co., Ltd., Takasaki Morinaga Co., Ltd., Morinaga Angel Dessert Co., Ltd., Morinaga Dessert Co., Ltd., Morinaga Snack Foods Co., Ltd., Morinaga Kofu Foods Co., Ltd., Aunt Stella Inc., Morinaga Market Development Co., Ltd., Morinaga Shoji Co., Ltd., Morinaga Takataki Country Co., Ltd., Morinaga Business Partner Co., Ltd., and Morinaga Institute of Biological Science, Inc.
Taiwan Morinaga Co. Ltd, Morinaga Food (Zhejiang) Co., Ltd., and Morinaga America Foods, Inc.

• Greenhouse gas emissions

CO ₂ emissions	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
CO ₂ emissions	t-CO ₂	36,256	37,588	37,131	Morinaga & Co., Ltd.
	t-CO ₂	56,745	58,133	57,048	Morinaga Group's production bases in Japan
	Basic unit (per manufacturing weight)	t-CO ₂ /t	0.48	0.48	0.47
CO ₂ emissions	t-CO ₂ /t	-	8,167	9,137	Morinaga Group's production bases overseas

Supply chain emissions (Scopes 1, 2, 3) •FY2020/3 results			Unit	Emissions	Scope for calculation	Remarks
Scope1	Total		t-CO ₂ e	20,794	Domestic consolidated companies	
Scope 2 (Location standard)	Total		t-CO ₂ e	52,024	Domestic consolidated companies	
Scope 2 (Market standard)	Total		t-CO ₂ e	49,605	Domestic consolidated companies	
Scope 3						
Category 1	Purchased goods and services		t-CO ₂ e	248,003	Domestic consolidated companies	Amount of raw materials and contract manufacturing products purchased
Category 2	Capital goods		t-CO ₂ e	122,971	Domestic consolidated companies	
Category 3	Fuel- and energy-related activities		t-CO ₂ e	3,774	Domestic consolidated companies	
Category 4	Upstream transportation and distribution		t-CO ₂ e	15,809	Morinaga & Co., Ltd.	
Category 5	Waste generated in operations		t-CO ₂ e	4,176	Domestic consolidated companies	
Category 6	Business travel		t-CO ₂ e	618	Domestic consolidated companies	
Category 7	Employee commuting		t-CO ₂ e	1,607	Domestic consolidated companies	
Category 8	Upstream leased assets		t-CO ₂ e	557	Morinaga & Co., Ltd.	
Category 9	Downstream transportation and distribution		t-CO ₂ e	-	-	Not applicable
Category 10	Processing of sold products		t-CO ₂ e	-	-	Not applicable
Category 11	Use of sold products		t-CO ₂ e	-	-	Not applicable
Category 12	Disposal of sold products		t-CO ₂ e	6,603	Domestic consolidated companies	
Category 13	Downstream leased assets		t-CO ₂ e	-	-	Not applicable
Category 14	Franchises		t-CO ₂ e	-	-	Not applicable
Category 15	Investments		t-CO ₂ e	-	-	Not applicable
Category 16	Other (upstream)		t-CO ₂ e	-	-	Not evaluated
Category 17	Other (downstream)		t-CO ₂ e	-	-	Not evaluated

• Energy

		Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Energy consumption	Crude oil equivalent	kl	35,395	36,213	35,505	Morinaga Group's production bases in Japan
	Basic unit (per manufacturing weight)	kl/t	0.30	0.30	0.30	
	Electricity	10,000 kWh	9,937	10,107	9,939	
	City gas	1,000 m ³	9,079	9,434	9,221	
	LPG	t	13	11	11	
	Fuel oil	kl	0	0	0	
	Kerosene	kl	2	3	3	
Recyclable energy consumption	Crude oil equivalent	kl	0	0	0	
Total recyclable energy purchased or generated	Crude oil equivalent	kl	0	0	0	

● Resources and waste

		Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Amount of raw materials consumption	Primary raw material	t	46,665	42,460	41,342	Morinaga Group's production bases in Japan
	Secondary raw material	t	46,276	52,901	49,883	
Amount of materials consumption	Paper	t	16,397	14,350	14,175	
	Cardboard	t	8,722	9,041	8,004	
	Plastic	t	4,247	5,094	4,648	
	Glass	t	0	0	0	
	Steel	t	0	0	0	
	Aluminum	t	721	875	1,091	
	Others	t	46	153	133	
Waste emissions		t	9,843	9,716	9,556	
Recycling volume		t	9,840	9,712	9,553	
Recycling rate		%	99.97	99.96	99.97	
Final landfill volume		t	3	4	3	
NOx emissions		t	29	38	36	
SOx emissions		t	0	0	0	
Number of products using environmentally-friendly paper materials		Number of products	0	1	19	

	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Waste emissions	t	-	515	616	Morinaga Group's production bases overseas

● Water

	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Water resource consumption	1,000 m³	1,530	1,504	1,538	Morinaga Group's production bases in Japan
Waste water volume	1,000 m³	1,039	1,080	1,341	

	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Water resource consumption	1,000 m³	-	159	148	Morinaga Group's production bases overseas

● Environmental management

	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Number of ISO 14001 certifications	certification	1	1	1	We acquired the certification using the multi-site approach which combines our own factories, affiliated production companies, and the headquarters' integration secretariat.

● Compliance (environment)

	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Number of times fined for environmental violations	Times	0	0	0	Morinaga Group's production bases in Japan
Environmental violation fine amount	yen	0	0	0	

Society

• Policy

Human Rights Policy	"Morinaga Group Human Rights Policy" https://www.morinaga.co.jp/company/english/about/governance.html
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• Customers

Customer policy	"Basic Policy for Customer Satisfaction" aligned with ISO 10002 https://www.morinaga.co.jp/contact/service.html
Responsible marketing policy	Included in "Morinaga Group Code of Conduct" and "Morinaga Group Standards of Behavior" https://www.morinaga.co.jp/company/english/about/vision.html

Customer feedbacks received by Customer Service Center	Unit	FY2018/3	FY2019/3	FY2020/3	Scope
Inquiries and opinions	contact	33,861	32,804	31,658	Morinaga & Co., Ltd.
Complaints	contact	5,579	5,413	4,593	
Total	contact	39,440	38,217	36,251	

• Employee

Basic human resources policy	Included in "Handbook of Human Resources System"
Occupational safety and health policy	Included in "Health and Safety Management Regulation"

		Unit	FY2018/3	FY2019/3	FY2020/3	Remarks	Scope
Number of full-time employees	Female	person	317 (20.3)	332 (20.9)	343 (21.0)	Includes seconded employees	Morinaga & Co., Ltd.
	Male	person (%)	1,244 (79.7)	1,254 (79.1)	1,290 (79.0)		
	Total	person (%)	1,561 (100)	1,586 (100)	1,633 (100)		
Number of temporary employees	Female	person (%)	195 (43.6)	194 (44.2)	208 (46.3)	The number of directly-hired associate employees as of the end of the fiscal year	
	Male	person (%)	252 (56.4)	245 (55.8)	241 (53.7)		
	Total	person (%)	447 (100)	439 (100)	449 (100)		
Average age	Female	years of age	39.7	39.7	40.0	Includes seconded employees	
	Male	years of age	42.9	43.3	43.6		
	Total	years of age	42.3	42.5	42.9		
Average service years	Female	year(s)	17.3	17.1	17.1	Includes seconded employees	
	Male	year(s)	19.2	19.5	19.4		
	Total	year(s)	18.8	19.0	18.9		
Number of regular employees working at domestic affiliated companies	Female	person (%)	210 (32.1)	224 (33.6)	234 (34.8)	Excludes employees seconded from Morinaga & Co., Ltd.	
	Male	person (%)	444 (67.9)	443 (66.4)	439 (65.2)		
	Total	person (%)	654 (100)	667 (100)	673 (100)		
Number of temporary employees working at domestic affiliated companies	Female	person (%)	828 (77.5)	835 (76.1)	769 (79.0)	Including reemployed employees (rehires plus temporary employees)	
	Male	person (%)	240 (22.5)	262 (23.9)	205 (21.0)		
	Total	person (%)	1,068 (100)	1,097 (100)	974 (100)		
Number of new recruits	Female	person (%)	17 (48.6)	19 (35.8)	35 (70.0)	Including new graduates and career-track employees	
	Male	person (%)	18 (51.4)	34 (64.2)	15 (30.0)		
	Total	person (%)	35 (100)	53 (100)	50 (100)		
Number of new recruits by domestic affiliates	Female	person (%)	21 (39.6)	19 (31.1)	37 (54.4)		
	Male	person (%)	32 (60.4)	42 (68.9)	31 (45.6)		
	Total	person (%)	53 (100)	61 (100)	68 (100)		
Turnover rate (of new graduates resigned after less than three years of service)		%	-	3.4	3.2		
Employment rate of people with disabilities		%	2.44	2.53	2.79	Ending of each fiscal year (as of March 31)	
Number of female managers		person	25	33	43	Beginning of each fiscal year (as of April 1)	
Ratio of female managers		%	5.2	6.7	7.7		
Ratio of female Directors		%	9.1	20.0	22.2		
Number of employees taking childcare leave	Female	person (%)	18 (69.2)	13 (65.0)	16 (48.5)	Based on the date when childcare leave commenced (including seconded employees and associated employees)	
	Male	person (%)	8 (30.8)	7 (35.0)	17 (51.5)		
	Total	person (%)	26 (100)	20 (100)	33 (100)		
Reinstatement rate		%	95.7	100	100		
Number of employees utilizing shorter work hour system for childcare	Female	person (%)	21 (100)	24 (100)	26 (100)		
	Male	person (%)	0 (0.0)	0 (0.0)	0 (0.0)		
	Total	person (%)	21 (100)	24 (100)	26 (100)		
Number of employees wishing to be reemployed after retirement		person	34	76	72		
Reemployment rate of post retirement employees		%	85.0	93.0	89.0		
Average overtime hours (per employee)		hours/month	16.2	16.8	15.1		
Days of annual paid leave acquired		day	11.8	12.3	12.6		
Annual paid leave acquisition rate		%	93.0	96.1	94.7		
Number of employees using nursing care leave		person	0	0	1		
Ratio of union members		%	100	100	100	Counted regular employees only	
Rate of stress check implementation		%	100	100	100		
Percentage of employees participating in health checkups		%	100	100	100		
Rate of frequency		-	3.07	2.02	1.05	Rate of frequency of employees taking leave from work due to work-related injuries per million actual work hours at domestic factories	
Number of fatal occupational accidents		person	0	0	0		